

Bundle of Rights Video Script

Ownership of land involves much more than just having a deed to a parcel and the rights to occupy a building.

First, it's helpful to understand the difference between land, real estate, and real property.

- A parcel of **land** includes the surface of the land, as well as the earth below the surface, any attached natural items, and the airspace above the land.
- **Real estate** includes the land itself, as well as any attached items-such as buildings, pools, and monuments.
- **Real property** includes real estate, as well as the rights that are included in property ownership. These rights are commonly referred to as the bundle of rights.

You can remember the bundle of rights by using the acronym DEEP-C, which stands for:

- The right of **disposition** , which gives the owner the right to sell or convey the property.
- The right of **exclusion** , which provides the owners with the right to decide who may or may not access the property (owners can exclude others from their property).
- The right of **enjoyment** , which gives the owner the ability to use the property in any legal manner.
- The right of **possession** , which simply means that the property is owned by the title holder.
- And finally, the right of **control** , which allows the owner to control the use of the property, including how others may use the property.

Property ownership includes the right to use the land's physical components. These are known as surface, subsurface, and air rights.

- **Surface rights** include both land and water rights. This can be particularly important for land in a part of the world where water is scarce, as well as in situations where water is necessary for agriculture and farming.
- **Subsurface** rights pertain to the right to use underground resources, such as natural gas and minerals, which is why subsurface rights are often called **mineral rights** .
- **Air rights** involve the right to use the open space above buildings up to an elevation established by law. Think about a piece of property with a stunning view of a mountain or lake. Now imagine a huge skyscraper is built right in front of that property's view. If the property owner doesn't have air rights to the area around his property, that skyscraper could really affect the property owner's enjoyment!
- In addition, there is the **right of profit** . An example of this would be the right to harvest timber and sell it.

Remember earlier when we said that real property includes land plus real estate plus rights? This is an important point, because it's possible (and, in fact, not uncommon) for multiple individuals to hold separate rights for the same piece of property. An individual right (or multiple rights) to the land may be separated from the bundle of rights if the owner chooses to transfer ownership or an interest in ownership to another. Generally speaking, landowners like to retain as many rights as possible, since a property is worth more if it comes with a more complete bundle of rights.

So, if you can imagine the bundle of rights as a literal bundle, it's easy to see how one or more rights can be sold to another person while the rest of the bundle remains intact.